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Agenda

PELOTON

- Industry Analysis - Persona
- Problem Identification
- Recommendations – 3 Solutions
- Implementation
- Risk and Mitigations
- Key Performance Indicators
- Executive Summary

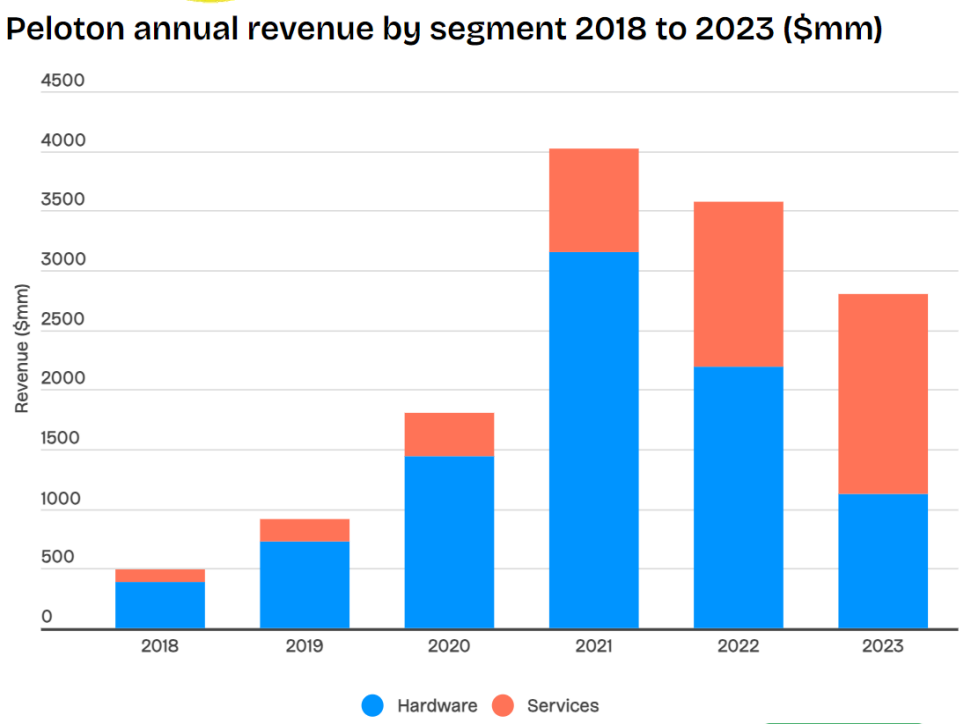
Industry Analysis

PELOTON

Competitors

SOULCYCLE®

MIRROR



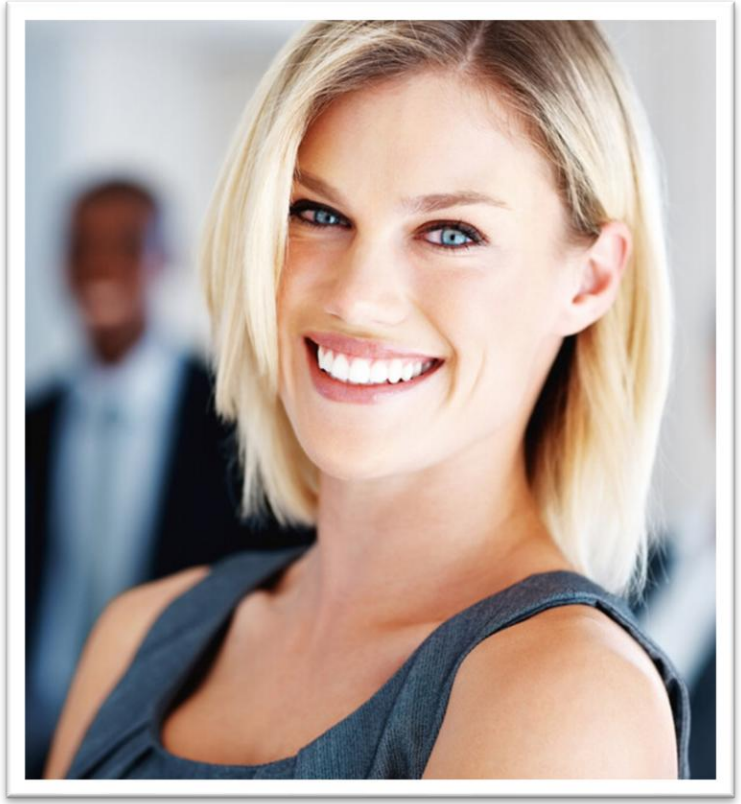
Strength
- Compatible product ecosystem
- Innovative technology
- Diverse revenue streams

Weakness
- High price point
- Safety concerns
- Dependence on technology

Opportunity
- Global market expansion
- Partnerships

Threats
- Increasing competition
- Evolving trends
- Supply chain disruptions

Persona



Carla is a mom who wants to stay fit while also taking care of her toddlers. She doesn't want to be away from her kids for too long so she wants gym equipment at home.

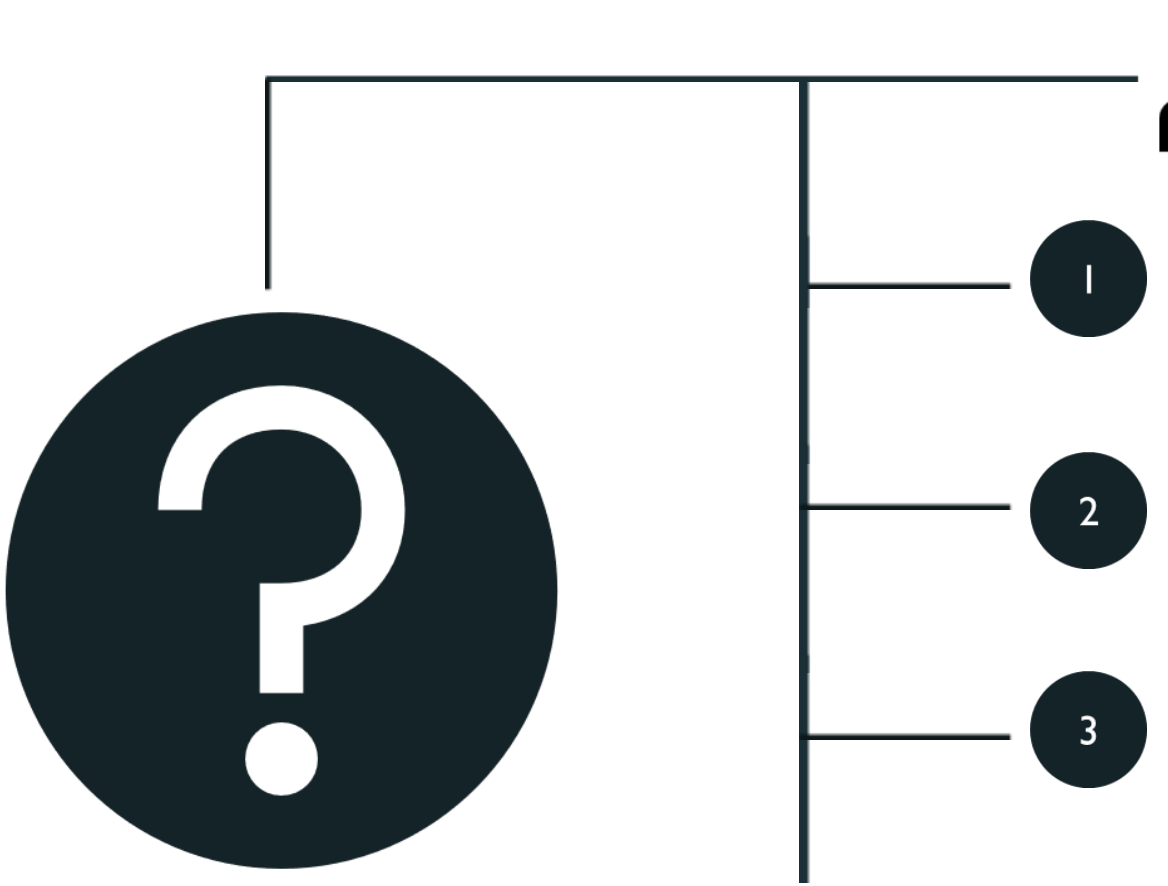
Consumer Needs

Easy to use, convenient, at home workout equipment that offers a variety of uses in the comfort of my own home.

Like-minded peers and engaging instructors.

Exercise with motivation and goals.

Problem Identification



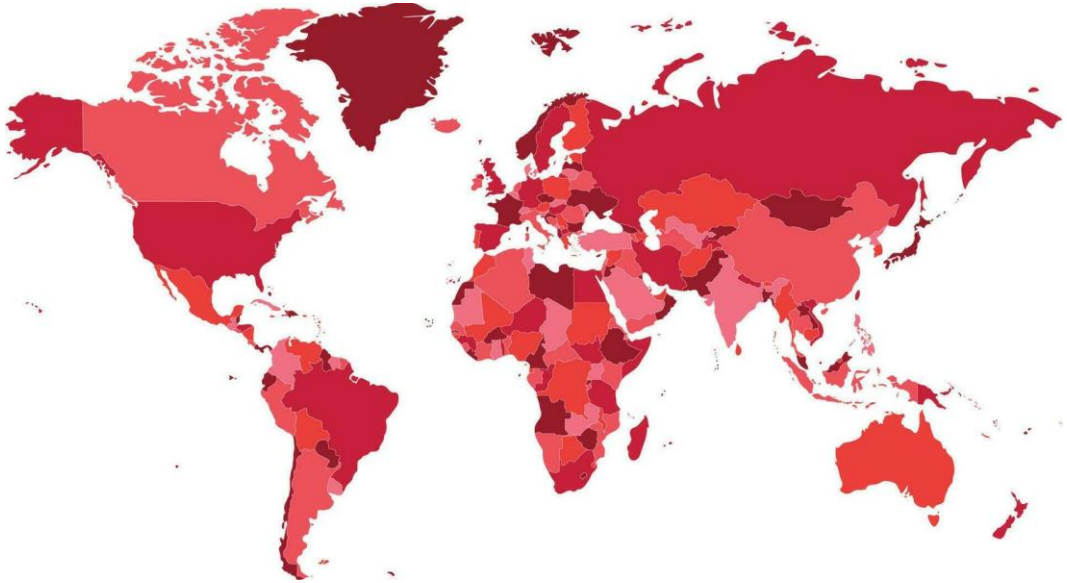
1. **Lack of demand**
   Since the end of the COVID pandemic, people are less inclined to workout at home due to the accessibility of gyms
2. **Low global presence**
   Peloton only has a presence in the United States, Canada, United Kingdom, and Germany
3. **Loss of Reputation**
   Despite Peloton's surge in demand during COVID, it created supply chain issues; upsetting consumers

Recommendation 1



- Create a **reward** system to encourage people to log more Peloton hours
  - Ex: one month free of Disney+
- Give back to your **valued** customers
- Build brand **loyalty** within your consumer base

Recommendation 2



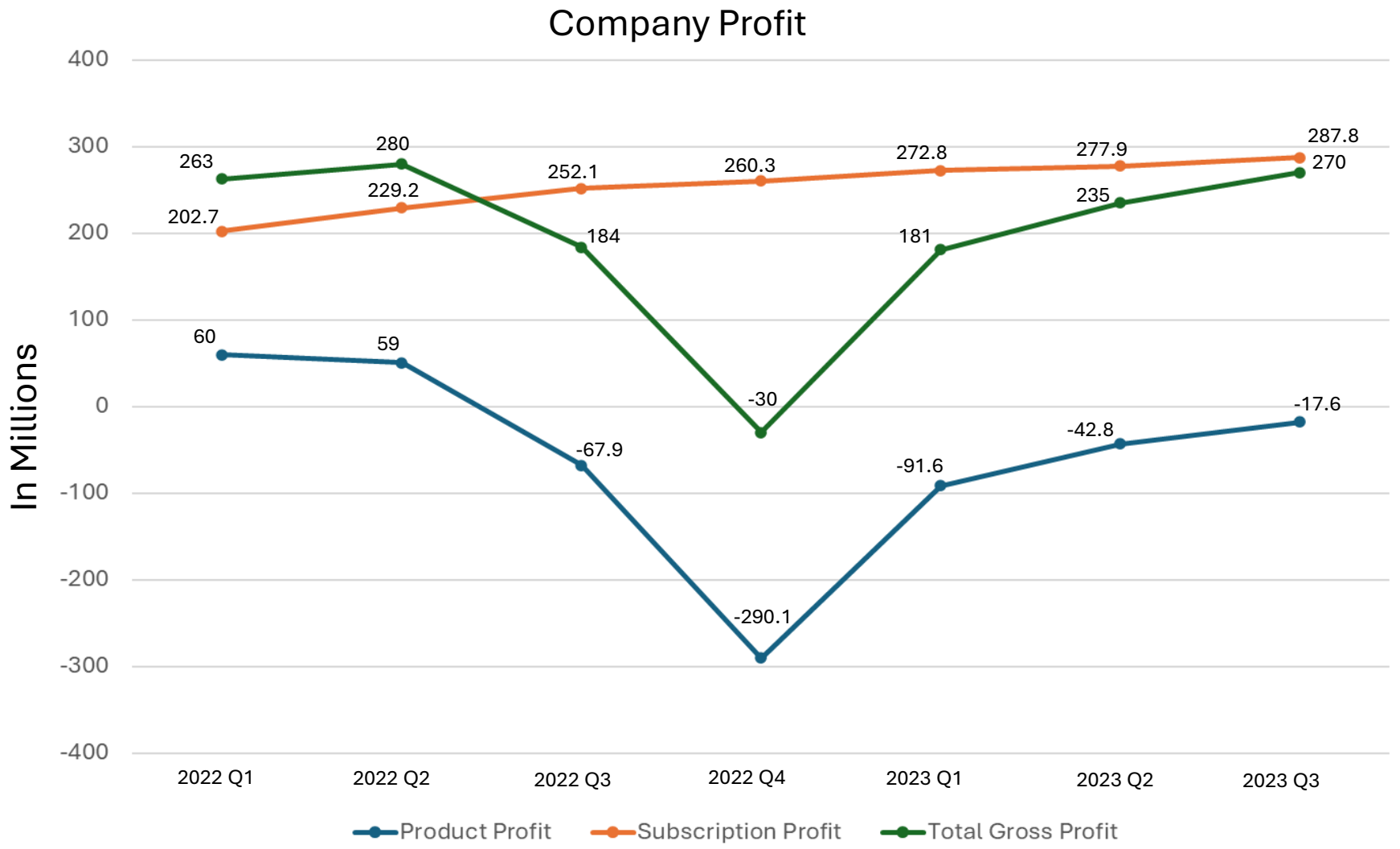
- **Expand** into the **global** market
- Become a **booming** international business
- Feed into the **desire** to be thin and fit **all over** the world
  - Ex: reach more parts of Europe and Asia

Recommendation 3



- Partnerships with gym chains
  - Ex: LA Fitness, Planet Fitness
- Influencer collabs
  - Ex: Shaq, Alix Earle
- Make Peloton an **elite** fitness platform with **dedicated** instructors and **unique** partnerships

Financials


Company Profit
In Millions
400
300
200
100
0
-100
-200
-300
-400
2022 Q1
2022 Q2
2022 Q3
2022 Q4
2023 Q1
2023 Q2
2023 Q3
263
280
184
-30
181
235
270
202.7
229.2
252.1
260.3
272.8
277.9
287.8
60
59
-67.9
-290.1
-91.6
-42.8
-17.6
Product Profit
Subscription Profit
Total Gross Profit

Implementation

Implementation plan	2024 Q1	2024 Q2	2024 Q3	2024 Q4	2025 Q1	2025 Q2	2025 Q3	2025 Q4	2026 Q1	2026 Q2	2026 Q3	2026 Q4
Rewards system												
Assess consumer habits and activity												
Develop rewards												
Implement rewards system												
Analyze customer engagement												
Partnerships with gyms												
Contact gyms and present idea												
Offer bulk package to interested facilities												
Review interested gyms for interest in expansion												
Global Expansion												
Generate revenue												
Conduct research on countries to possibly implement based on consumer lifestyles												
Market to citizens of countries												
Sell to international countries												
Improve based on customer data and product sales												

Risk and Mitigants

Risk	*Mitigants*
Customers may find the reward less appealing if points required are perceived as too high	Ensure the points-to-reward ratio is reasonable as well as offer additional incentives to keep the program appealing
Peloton will face competition from local and international fitness brands that may already have a strong presence in target markets	Analyze each companies market and evaluate which country has a low fitness presence
Influencers' audiences might not align with Peloton's target market, leading to ineffective promotions	Use audience analytics to ensure a good fit before entering into agreements

Key Performance Indicators

PELOTON

Subscriptions

20% increase in Subscription

70% of subscribers continue their subscription

Product Performance

25% decrease in returns

1 million units of bikes, treadmills, and other equipment sold

Financial Efficiency

Cost per Acquisition decreased by 10%

25% increase on inventory turnover

Conclusion

PELOTON

Lack of demand



Reward system

Low global presence



Expand into the global market

Loss of Reputation



Use celebrities/celebrity endorsements

Thank You!

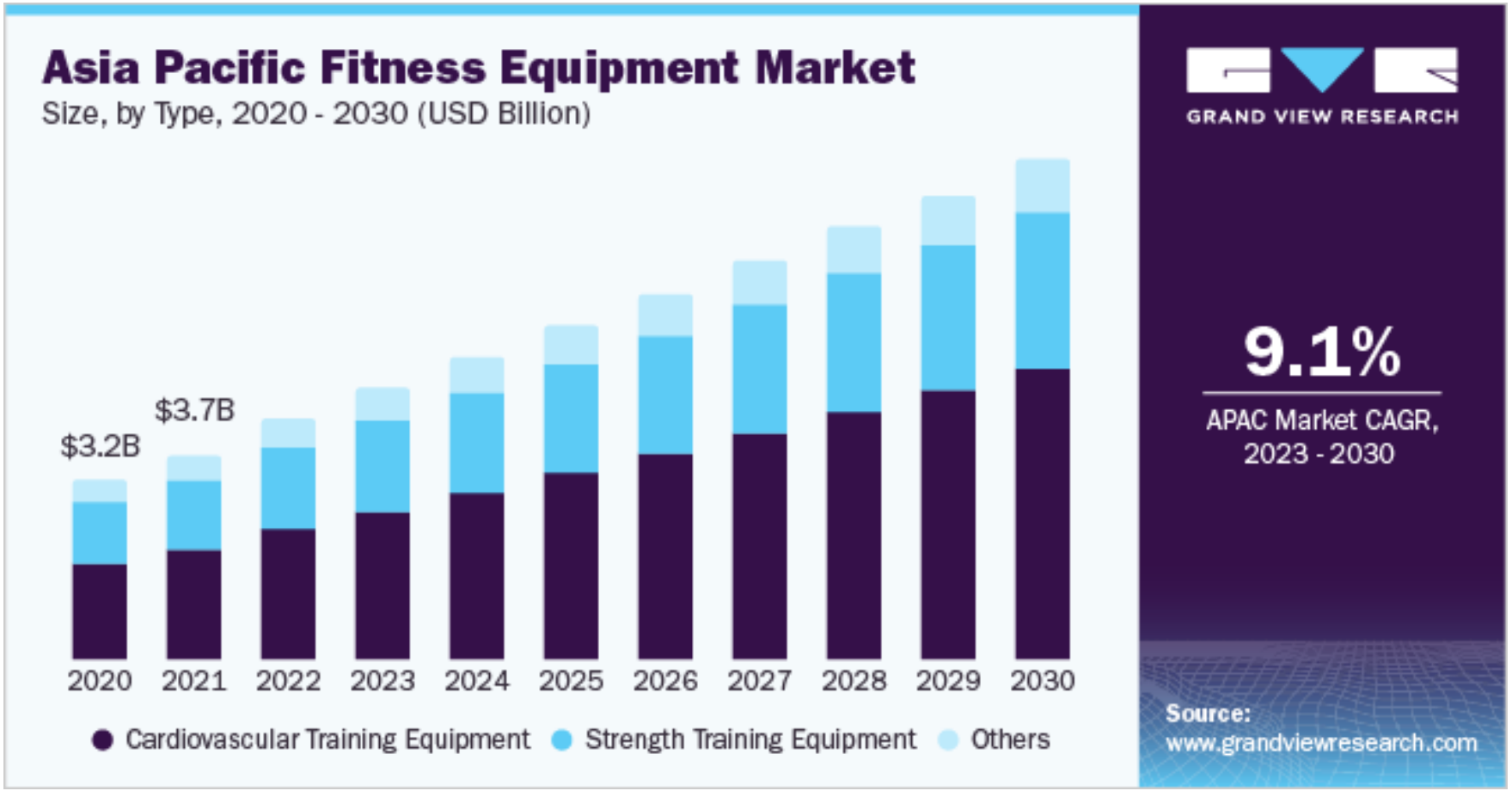
Appendix A



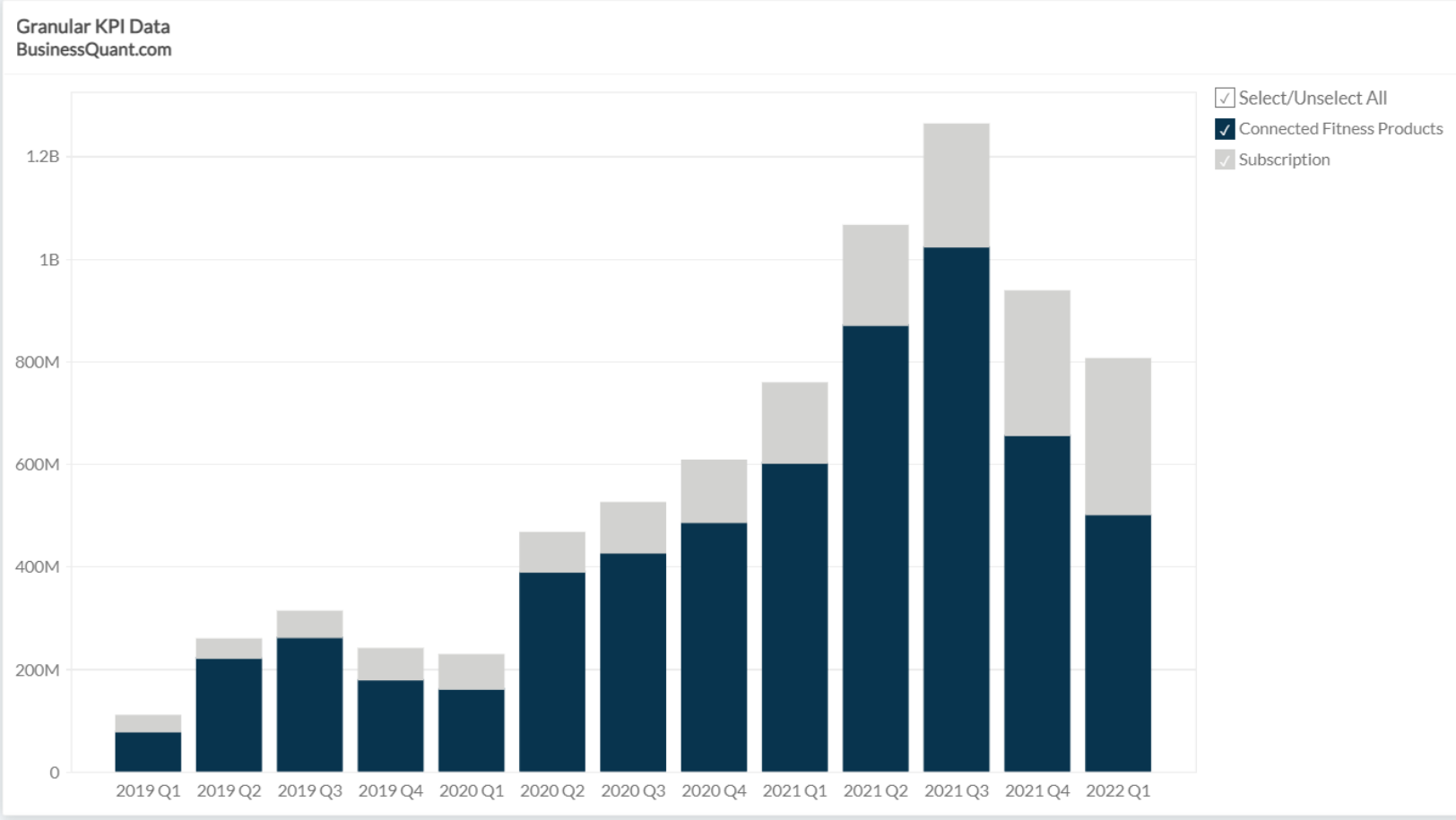
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Source: Company provided information
Note: CF member base as of November 2023, represents US members only

Appendix B


Asia Pacific Fitness Equipment Market
Size, by Type, 2020 - 2030 (USD Billion)
$3.2B
$3.7B
2020
2021
2022
2023
2024
2025
2026
2027
2028
2029
2030
Cardiovascular Training Equipment
Strength Training Equipment
Others
GRAND VIEW RESEARCH
9.1%
APAC Market CAGR, 2023 - 2030
Source:
www.grandviewresearch.com

Appendix C


Granular KPI Data
BusinessQuant.com
Select/Unselect All
Connected Fitness Products
Subscription
1.2B
1B
800M
600M
400M
200M
0
2019 Q1
2019 Q2
2019 Q3
2019 Q4
2020 Q1
2020 Q2
2020 Q3
2020 Q4
2021 Q1
2021 Q2
2021 Q3
2021 Q4
2022 Q1